

The people who trade bonds think interest rates will rise a lot more than the Fed says they will.

Friday's numbers first, then what they mean. Week-on-week changes are against the same day last week.

00 The markets board

SHARES AND FEAR

S&P 500	7,666.45	-0.5%	1st Oct
Nasdaq Composite	26,871.60	-0.3%	1st Oct
Dow Jones	50,927	-0.8%	1st Oct
Nikkei 225	68,309	+2.9%	2nd Oct
VIX (fear meter)	16.39	+0.72	1st Oct

RATES AND LENDERS (CHANGE IN POINTS)

US 2-year yield	4.88%	+0.03	30th Sep
US 10-year yield	5.29%	+0.18	30th Sep
Risky-company spread	3.24	+0.44	1st Oct

CURRENCIES

Pound in dollars (GBP/USD)	1.325	-0.9%	25th Sep
Euro in dollars (EUR/USD)	1.140	-0.6%	25th Sep
Dollars per yen (USD/JPY)	157.18	+0.2%	25th Sep
Swiss francs per dollar	0.8282	+0.5%	25th Sep
Yuan per dollar	6.7110	+0.2%	25th Sep
Broad dollar index	120.33	+0.7%	25th Sep

COMMODITIES AND CRYPTO

Brent oil, spot (\$/bbl)	113.96	-0.8%	29th Sep
WTI oil, spot (\$/bbl)	96.16	-0.3%	29th Sep
Gold (\$/oz)*	4,178	-2%	1st Oct
Bitcoin (\$)	84,760	+0.3%	1st Oct

FRED / St. Louis Fed, last available close in each row (dates shown; FRED's currency series runs about a week behind). *Gold is not on FRED: spot price from Kitco and Refinitiv-based reports, rounded, and the weekly change is approximate (vs about \$4,260 on 24th Sep).

FUTURES PRICE

What traders agree today to pay for oil delivered in a few months. It is the number most headlines quote.

SPOT PRICE

What oil costs to be delivered now. When spot sits far above futures, buyers are short of barrels today.

RISK-FREE RATE

What a government pays you to lend to it, with essentially no chance of loss. Every risky asset is judged against it.

01 The big picture

On 16th September the Fed raised its rate to between 3.75% and 4.00%, and pencilled in one more small rise before the year ends. The bond market does not believe that is the end of it.

The cleanest signal is the 2-year yield, what the US government pays to borrow for two years. It trades all day, so it works as a running vote on where rates are going. On 30th September it stood at **4.88%**, almost a full point above where the Fed is today.

Picture a friend texting "ten minutes away" while the group chat has already ordered without them. The Fed is the friend. The bond market is the group chat, and it is planning for three or four more rises.



READING IT On the left, both yields have climbed since August and sit far above the dashed line, the Fed's own rate. A gap that wide means the market expects the Fed to catch up. On the right, the line is the extra interest that weaker companies pay compared with the government. It

hovered near 2.7 for months and jumped to 3.24 by 1st October. Lenders are asking for a bigger cushion, which means someone is getting nervous.

Higher rates make a promise of money later worth less today, so the damage lands first on share prices, house prices and new stock market launches (IPOs). Expect it to show up in what companies pay to borrow, or in share prices, before the Fed moves at all. The cleanest sign it is wrong: the Fed's meeting notes on Wednesday 7th October sounding relaxed, or the 2-year yield sliding back under 4.5%.

02 Eight checks that make you sound like you follow markets

"What's going on in the markets?" is a common opening question, and "I read the news" is not an answer. Run these eight checks and you always have one.

CHECK	THIS WEEK	WHY IT MATTERS
1. Nervous-lender gauge (credit spreads)	Risky companies: the extra interest they pay rose to 3.24 (1st Oct), from about 2.65 a month ago. Safe companies: 1.47, near a one-year low.	Safe borrowers are fine and shakier ones are paying more. Lenders feel stress first, so this is the canary, and it has started to cough.
2. Currencies	The pound is \$1.325, down 2.5% in a month. The euro is \$1.14, down 2.2%. A basket of world currencies against the dollar is up 1.6% (to 25th Sep).	Higher US rates pull money into dollars. A strong dollar makes imports like oil dearer for the UK and Europe, which is one reason the Bank of England cannot relax.
3. Is it too expensive? (valuation)	The risk-free rate is 5.29% a year. To beat that, shares need to earn at least 5.29% on the price you pay, which means paying no more than about £18.90 per £1 of yearly profit.	Above a P/E of about 19, you earn less owning risky shares than lending to the government. Look up where the US market's P/E sits against that.
4. Fear meter (VIX)	16.4, up from 15.7 a week ago. Over the past year it has ranged from 13.5 to 31.1.	At 16 share traders are calm while bonds and lenders are not. Either shares know something or they have not read the memo.
5. Company results (earnings)	Reporting for July to September starts in mid-October. The Nasdaq (US tech-heavy index) is at 26,872, up 15.6% this year. The S&P 500 (the 500 biggest US companies) is up 12.0%.	Profits decide whether shares can live with higher rates. Ask whether many companies are rising or just a few giants.
6. Who is leading	The Nasdaq is beating the S&P 500 and sits near its one-year high of 27,244 (22nd Sep).	Tech and AI are still in front, which is why the deals in section 04 matter.
7. The government bar (risk-free rate)	The 10-year yield is 5.29%, a one-year high, up 0.50 points since 2nd September.	As the safe payout rises, shares have to offer more to justify the risk. That is why share prices are the next place to look.
8. Central banks	Fed: 3.75-4.00%, forecasting 4.00-4.25% by December. Bank of England: 3.75%, held on 17th Sep by 6 votes to 3. Next dates: Fed notes 7th Oct, Bank of England 5th Nov.	Where rates go next is the story behind the other seven rows.

03 Interview questions, with answers you can borrow

"What's been happening in the markets this week?"

Interest rates are the story. The 10-year US government bond hit 5.3% and the 2-year is near 4.9%, so traders expect more rises than the Fed has hinted at. It is starting to show in what risky companies pay to borrow and in mortgage rates, while shares are holding up, with the S&P 500 up about 12% this year.

"What does a rising bond yield do to shares?"

Two things. Future profits are worth less in today's money, and investors get a safer place to park cash. Fast-growing companies like tech feel it most. Banks can sometimes gain.

"Oil futures are near \$100 but the spot price is \$114. What is going on?"

Futures are bets on delivery months away, spot is what a barrel costs today. When spot is that far above, buyers are short of oil right now. China has stopped fuel exports for October and US-Iran talks have stalled, so nobody wants to wait.

"Why do mortgage rates matter outside housing?"

They follow the 10-year yield. A 30-year US mortgage is now 7.28%, a one-year high, so homes are harder to afford. That slows building, furniture sales and bank lending. It is how the Fed's decisions reach ordinary households.

"Where do you land, and what would change your mind?"

I think share prices or company borrowing costs adjust before the Fed does. I would change my mind if the Fed's notes sound relaxed, or if the 2-year yield drops back under 4.5%.

"Why is the Bank of England holding rates when inflation is 3.1%?"

Inflation is above the 2% target, so it is not cutting, but it has not raised either. Three of the nine voters wanted a rise on 17th September, so the next move is more likely up than down.

Name the rate (3.75%), the vote (6 to 3 to hold) and the date to watch (5th November).

"Why do weekly unemployment claims matter to markets?"

They are the quickest read on whether people are losing jobs. At 197,000 they are near a one-year low, so the economy is not weakening, which gives the Fed room to keep rates high.

Low claims mean no pressure on the Fed to cut.

Ten minutes before your next call: say the one-line summary out loud, rehearse two answers, and write your call down before you read the scorecard.

04 What else moved

Oil: the real price is higher than the headline

Most news quotes the "futures" price, a bet on delivery later. For Brent, the main world oil price, that was around \$97-102 a barrel this week. Oil for delivery right now was \$113.96 on 29th September, up \$24 in a month. When today's price sits far above the later price, buyers are fighting over barrels they need now. China stopped fuel exports for October and US-Iran talks have stalled. Dearer oil keeps prices rising across the economy, so central banks stay cautious. Governments releasing emergency stocks is the main thing that could pull it down.

Bank of England: one step behind the Fed

It held at 3.75% on 17th September, but three of nine voters wanted a rise, and UK inflation is 3.1%. UK factories reported rising costs for the first time in four months, which backs the three. The next move is more likely up than down. Watch 5th November.

Share launches are slipping

Oura pulled its IPO on 29th September, even though 367 companies listed in July to September and raised \$93.3bn (EY). Launches are the first thing to slip when rates rise, so expect more delays while the 10-year stays above 5%. Takeovers carry on: Paramount buying Warner Bros (\$110bn) cleared a US court on 30th September.

05 Using this in an interview, by firm type

TOPIC	INVESTMENT BANKING helps companies raise money and do deals	CONSULTING advises companies on strategy	ASSET MANAGEMENT invests other people's money
Rates rising	Borrowing for takeovers costs more, so fewer deals get done.	Clients' borrowing costs rise. Frame advice around how fast an investment pays for itself.	Bond prices fall when yields rise. The credit spread is the early warning.
Oil near \$100	Energy deals, and funding for airlines.	Squeezed profits for transport and shop clients.	Favour energy over airlines. Consider bonds that rise with inflation.
IPO delays	Fewer launches means less work and weaker pricing.	Should a client wait, or raise money privately?	Existing share prices become the guide.

06 Scorecard

LAST WEEK'S CALLS: THREE HELD, ONE STILL OPEN

The 10-year yield stays above 5.1% on 2nd Oct	5.29%	Held
The risky-company credit spread stays above 2.8	3.24	Held
The Nasdaq stays above 26,500	26,872	Held
US jobs data does not weaken the case for an October Fed rise	due today	Open

> 4.75%

The 2-year yield stays above this. On 30th Sep: 4.88%.

< 3.46

The credit spread for riskier companies stays below its one-year high. On 1st Oct: 3.24. A move above would mean lenders are really spooked.

< 215,000

Weekly US unemployment claims stay below this. On 26th Sep: 197,000.

Next Friday we mark these the same way, including where we were wrong. Being wrong in public is the price of being worth reading.

Were you asked something good in your last interview, or did a tip work for you? Reply to edge@caxtonwealth.com. The best go into a future issue, with your name only if you say so.

Interview practice, not investment advice. Data: FRED / St. Louis Fed, ISM, S&P Global, US Census Bureau, Federal Reserve, Bank of England, EIA, Reuters, TechCrunch, EY. To 2nd October 2026.

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